

CRL 5× / PURE B-BOOK / PRICING TEST

Higher premium. Fixed trigger.

With a 5% loading on Q, average B-book margin is \$10,813: \$4,272 more than CRL without a loading. Average client wealth is \$37,882, a difference of -\$32 versus traditional. The broker remains \$620 below traditional. These are average results: the client outperforms traditional in 12/18 variants, the broker in 6/18, and both within the same variant in 0/18.

Q + 5% means a \$100 premium becomes \$105. The surcharge is paid on every opening, even without a trigger, and is retained by the broker. It is not 5% of capital and does not change the stop.

At 24 months, \$ per initial client	Traditional leverage	Baseline CRL	CRL Q + 5%
Client wealth	37,914	42,096	37,882
B-book margin	11,434	6,542	10,813

Higher margin and fewer severe losses

At Q + 7.5%, average B-book margin is \$12,783 (\$1,349 above traditional). Clients crossing a 50% loss threshold number 33.3 per 1,000, versus 371.3 under traditional. The cost of protection remains visible: average wealth of \$35,940 versus \$37,914; clients below initial capital of 978.2 versus 798.5. Higher broker margin and fewer -50% threshold crossings coexist in 17/18 variants. This combines higher margin with less severe losses, not higher margin with higher average client capital.

Averages across all 18 correlated variants, each with 1,000 clients starting with \$50,000, three historical windows and 24 months. Original 5× leverage and triggers unchanged. Capital, daily outcomes and re-entry are recalculated; no deterioration is imposed on traditional leverage.

B-book is an unhedged historical result, after included costs only. Risk capital, taxes, price elasticity and commercial retention are not estimated. This test is not a recommended fee.

FULL GRID / RESULTS AT 24 MONTHS

All admissible fees.

Surcharge	Capital \$	Margin \$	Δ client / STD \$	Δ broker / STD \$	Both /18
CRL without surcharge	42,096	6,542	4,181	-4,892	0
+ 0.1 bp of capital	41,979	6,659	4,065	-4,774	0
+ 0.25 bp of capital	41,806	6,836	3,891	-4,598	0
+ 0.5 bp of capital	41,518	7,128	3,603	-4,306	0
+ 0.75 bp of capital	41,233	7,417	3,319	-4,017	0
+ 0.9 bp of capital	41,065	7,588	3,150	-3,846	0
Q + 0.025%	42,073	6,564	4,159	-4,870	0
Q + 0.05%	42,051	6,586	4,137	-4,847	0
Q + 0.1%	42,006	6,632	4,092	-4,802	0
Q + 0.25%	41,873	6,767	3,959	-4,667	0
Q + 0.5%	41,653	6,990	3,738	-4,443	0
Q + 1%	41,214	7,435	3,300	-3,999	0
Q + 2.5%	39,932	8,734	2,018	-2,700	0
Q + 5%	37,882	10,813	-32	-620	0
Q + 7.5%	35,940	12,783	-1,974	1,349	0
Q + 10%	34,098	14,652	-3,816	3,218	0
Q + 12.5%	32,353	16,423	-5,562	4,989	0

Positive deltas indicate a higher average result than traditional leverage. "Both" counts variants in which client and broker both outperform traditional leverage; it does not measure a probability of success. Higher average capital is distinct from loss severity and frequency.

Excluded fees: +1, +2 and +4 basis points of capital; Q +15% and Q +20%. They produce at least one historical trigger with a non-positive net outcome. Exclusions were made before economic simulations.

Q + 5% / NOT A PRICING RECOMMENDATION

The comparison, month by month.

Month	Capital STD / CRL \$	Margin STD / CRL \$	Losing clients STD / CRL	Burn 50% STD / CRL
1	48,811 / 49,954	1,157 / -17	605.9 / 543.8	0.0 / 0.0
2	47,804 / 49,819	2,138 / 59	674.2 / 552.7	0.0 / 0.0
3	48,307 / 49,437	1,607 / 377	628.4 / 597.7	0.0 / 0.0
4	47,251 / 48,334	2,639 / 1,430	677.3 / 748.0	0.2 / 0.0
5	46,615 / 47,823	3,250 / 1,881	692.6 / 800.1	0.6 / 0.0
6	46,618 / 47,108	3,220 / 2,536	681.1 / 844.8	1.4 / 0.0
7	46,546 / 46,659	3,266 / 2,925	680.7 / 860.3	2.8 / 0.0
8	45,107 / 46,044	4,677 / 3,485	720.6 / 877.8	8.7 / 0.0
9	43,847 / 45,530	5,909 / 3,939	756.9 / 905.1	16.8 / 0.0
10	43,237 / 45,291	6,498 / 4,119	771.1 / 906.7	23.2 / 0.0
11	43,163 / 44,819	6,547 / 4,541	764.4 / 923.8	33.3 / 0.0
12	42,197 / 44,668	7,495 / 4,649	794.2 / 925.5	39.8 / 0.0
13	42,218 / 44,412	7,448 / 4,843	788.2 / 924.1	51.7 / 0.0
14	41,611 / 43,464	8,027 / 5,741	793.8 / 941.5	76.6 / 0.0
15	41,756 / 41,904	7,845 / 7,244	769.9 / 947.2	124.6 / 0.0
16	40,768 / 40,524	8,803 / 8,575	783.2 / 955.6	155.4 / 0.1
17	40,620 / 39,750	8,919 / 9,298	778.2 / 964.2	185.9 / 0.9
18	40,564 / 40,222	8,946 / 8,765	773.9 / 951.6	217.2 / 2.1
19	39,897 / 39,492	9,583 / 9,445	780.1 / 951.4	248.7 / 3.2
20	39,760 / 39,727	9,692 / 9,152	781.9 / 947.1	275.6 / 3.7
21	39,440 / 39,143	9,982 / 9,683	786.8 / 952.4	301.4 / 4.2
22	38,909 / 38,926	10,486 / 9,852	791.9 / 946.6	326.3 / 6.1
23	38,841 / 38,646	10,526 / 10,083	787.6 / 940.7	355.3 / 12.0
24	37,914 / 37,882	11,434 / 10,813	798.5 / 950.0	371.3 / 16.4

Losing clients: wealth below the initial \$50,000 at month-end. Burn: cumulative crossing of the 50% threshold. Average counts per 1,000 initial clients; they may be fractional. Cash flows are recognised at closure; wealth is measured under the accounting convention of the comparison.

CONDITIONS ARE PART OF THE RESULT

Protocol and checks.

306 cohort paths: 17 admissible fees across 18 variants. 306,000 client paths, 7,344,000 client-months. Replays share data and seed: they are not independent observations. The initial grid and its extension were fixed before the new economic results.

The check includes all potential triggered contracts in the three windows, even those not selected by clients. All contracts under admissible fees close with a positive net outcome. Selection uses the historical sample and does not guarantee valid pricing for future markets.

The historical theoretical maximum is strictly below 0.934523 basis points of capital or 13.206426% of premium Q. These limits are not prudential buffers. Near the limit, the minimum trigger gain is negligible; prospective pricing validation requires a minimum net margin defined before testing.

Trigger $z = 0.35$ and original barrier for each entry, 5× leverage, commissions, funding, service, operating costs, licence and fixed costs unchanged. No change in directions or random draws. Contract durations are reused after checking that the premium does not change the duration rule; the account engine is rerun in full.

Checks passed

Zero-surcharge replay reconciled to the original independent ledgers; monthly KPIs and cash identities with residuals below \$0.000001. No overlapping positions and no actual trigger with a non-positive net outcome. Contract and protocol hashes verified.

The independent review covers the original baseline. This extension has internal checks and has not yet undergone independent review. Traditional leverage is unchanged. Voluntary churn, deposits and client replacements are not modelled.

Reproducibility

The technical package attached to the presentation contains protocols, the grid, complete results for all 18 variants by fee and month, checks, code and hashes. Individual trade ledgers are retained in the local research files.